Procure Space ETF

SPCX NASDAQ

Hold	$146.31 ▼ 3.84%	12M Price Target $165.00	52-Week Range $104.83 – $225.64	Market Cap $1.93T

SPCX: Space ETF Slides 10% in a Week on Risk-Off Rotation

WHAT HAPPENED

- SPCX dropped another 3.8% today, making it 4 straight down days — the ETF has lost about 10% since last Friday with zero company-specific news. That tells you this isn't about space stocks breaking, it's about money fleeing high-beta (meaning stocks that move more than the market) and running into defensive names.
- Look at the sector movers today — Healthcare +2.5%, Staples +1.1%, Real Estate +1.3%. That's a textbook risk-off rotation (investors moving from risky growth plays to safer, boring stuff). Space is the opposite of boring.

WHY IT MATTERS

Here's the thing that matters: the options flow is actually bullish (more call buyers than put buyers, with huge unusual call activity at the $145 and $147 strikes). That means somebody with real money thinks this selloff is overdone and is positioning for a bounce near current levels. Combine that with the fact that nothing bad happened to the underlying space companies — no failed launches, no contract losses, no bad earnings — and this looks more like a flush than a fundamental break. The read-through: if the broader market stabilizes, SPCX likely snaps back faster than it fell because the sellers are macro-driven, not company-driven.

POLICY & POLITICAL WATCH

The big thing on the horizon is the FY2027 defense authorization and the Space Force budget line — early drafts have Space Force funding growing ~13% YoY, which directly benefits SPCX holdings like Rocket Lab, Iridium, and the launch providers. Watch for any continuing resolution drama in Congress — if the government funds on autopilot instead of passing a real budget, new space contracts get delayed and that's a near-term headwind. On the friendlier side, the FCC's expedited satellite licensing rules (finalized this summer) are a quiet tailwind nobody's pricing in — it means faster deployment timelines for commercial satellite constellations, which is pure revenue acceleration for ETF holdings.

IS IT EXPENSIVE?

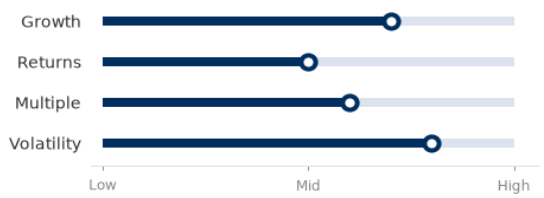
SPCX is a basket, not a single stock, so forget P/E — think about it this way: you're paying for a diversified bet on an industry growing ~15-20% annually, and the ETF is now trading at 34% of its 52-week range (closer to the low than the high). That's not screaming cheap, but it's not frothy either — you're basically buying space exposure at a 35% discount to where it was six months ago. Fair, not a fire sale.

WHAT COULD GO WRONG

Key Data

Price (USD)	**$146.31**
12M Price Target	**$165.00**
Upside / (Downside)	**+12.8%**
Market Cap	**$1.93T**
FY2026E Revenue	**—**
FY2027E Revenue	**—**
FY2026E EPS	**N/M**
FY2027E EPS	**N/M**
Fwd P/E	**N/M**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

SPCX — Procure Space ETF | October 15, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$160.00**	$150.00	**$135.00**
6 Months	**$185.00**	$165.00	**$130.00**
1 Year	**$220.00**	$180.00	**$125.00**
2 Years	**$275.00**	$210.00	**$120.00**
5 Years	**$400.00**	$290.00	**$140.00**
10 Years	**$650.00**	$420.00	**$180.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+6% over 5 days), Consumer Staples (+4.4%), Real Estate (+3%) — classic defensive rotation, likely driven by rate-cut repricing and macro jitters. Healthcare specifically is catching a bid from the Medicare drug pricing framework coming together more favorably than feared.

COOLING OFF: Anything high-beta and speculative — space, small-cap tech, unprofitable growth. The headwind is simple: when investors get nervous, they sell what's gone up the most and hide in dividend payers.

ROTATION WATCH: Money is flowing from "growth-at-any-price" into "earnings-you-can-count-on." Until that flips, SPCX stays under pressure regardless of how good the space fundamentals look.

RELATED PLAY: If you believe space wins long-term but want less volatility, look at the prime defense contractors (LMT, NOC, RTX) — they get space-adjacent revenue with real earnings and dividends to cushion the ride.

WHO'S WINNING IN THIS SPACE?

- LMT (Lockheed Martin): Defense primes are catching the defensive bid AND the budget tailwind — best of both worlds right now
- NOC (Northrop Grumman): Same story — space systems division growing but wrapped in a stable defense franchise

SPCX CONTEXT: SPCX is lagging the broader defense/space complex because it's a pure-play on the riskier commercial names. That's exactly why it falls harder in risk-off tapes — but it's also why it leads on the rebound when sentiment flips.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term setup but the near-term tape is ugly; not pounding the table yet

POSITION SIZE: 2-4% — space is a thematic bet, not a core holding; keep it sized so a 20% drawdown doesn't ruin your week

ENTRY POINTS: Start nibbling at $140, add aggressively at $130 if we get there. The bullish options flow suggests $145 is a line pros are defending

TIME HORIZON: 12-24 months — you're waiting for the Space Force budget to flow through and for 1-2 major commercial launches/contracts to re-ignite enthusiasm

WHEN TO BAIL: If the ETF breaks and holds below $125, or if we get a prolonged government shutdown that freezes space contracts, step aside

HEDGING: Simplest hedge is just owning some defensive sector exposure (healthcare or staples ETF) alongside this — when SPCX gets hit on risk-off days, those cushion the blow

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